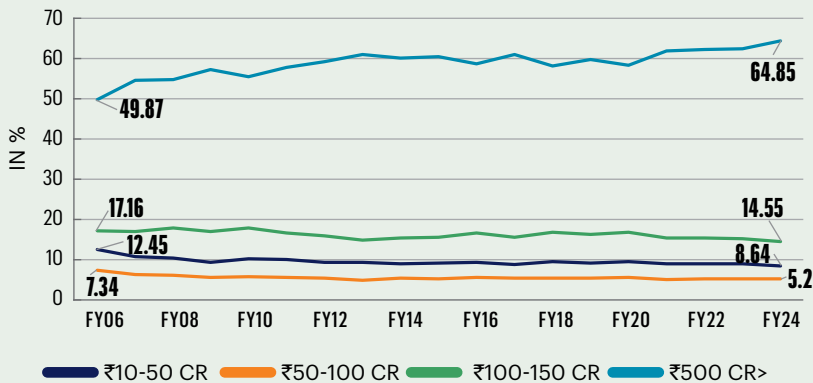
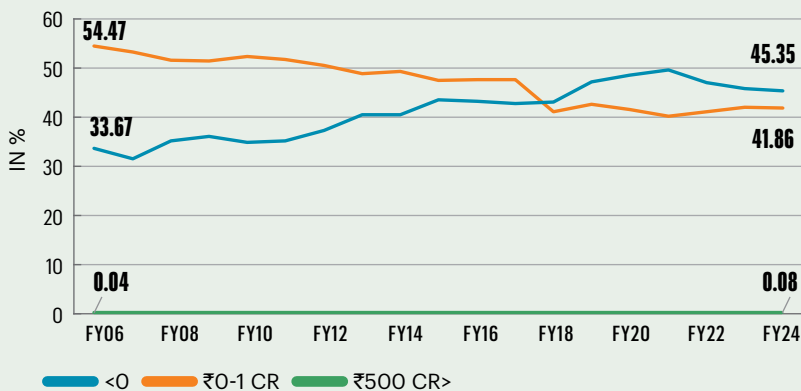


RISING SHARE

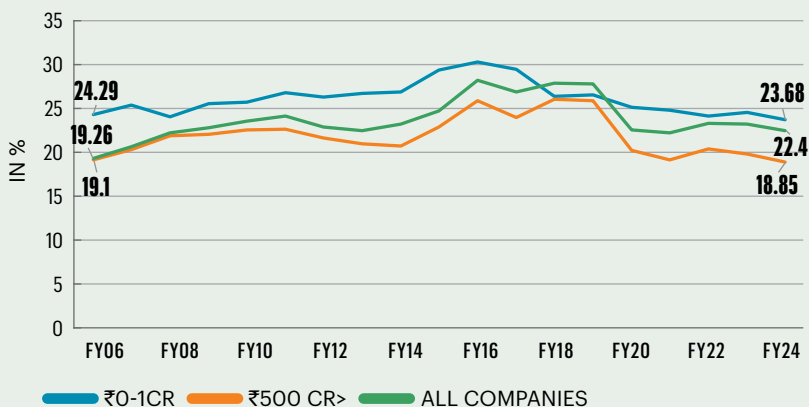
► Companies that reported more than ₹500 crore of PBT accounted for 65% of total PBT



► The increase in the share of loss-making companies has been matched by a decrease in the number of companies that reported PBT up to ₹1 crore



► The effective tax rate is the lowest for firms with the highest profits



SOURCE BUDGET DOCUMENTS

average for all companies and rates borne by the least profitable companies.

The Budget documents show that the share of these large companies, categorised as those that reported profits before tax (PBT) above ₹500 crore, in total profits touched a fresh high. The data presented in the Receipts Budget every year since FY06 comes with a lag.

More broadly, the top 2% of companies, those that reported PBT more than ₹10 crore, accounted for 93% of the total profits reported.

At the other end, more than half the companies either reported losses or made no profit in FY24. This marks a structural shift from FY18, when, for the first time, over 50% of companies fit this categorisation. That trend continued till the pandemic-affected FY21, when 54% of companies fell in this category. There has been a marginal improvement since then.

In fact, the increase in the share of loss-making companies is commensurate with a fall in the proportion of companies that reported the lowest PBT, that is, PBT up to ₹1 crore, the Budget documents show. The share of such companies fell from 54.47% in FY06 to 48.91% in FY13, the first time it dipped below 50%. The category witnessed a steep fall in FY18, when it fell to 41.04% from 47.67% the previous year, and hit an all-time low of 40.15% in Covid-hit FY21. It has recovered slightly since then.

The tax data, too, reinforces the imbalance. The effective tax rates have been much lower for companies that reported the highest PBT and higher for those that reported the lowest PBT. For instance, in FY24, the effective